

Investment Credit Memorandum

Riverton CLO 2024-1 | Riverton Barge Lines | 4 March 2024

1. Recommendation

Credit committee is asked to approve a \$6,000,000 allocation of the Riverton Barge Lines first-lien term loan into the Riverton CLO 2024-1 warehouse, and to roll that position into the CLO at closing. The borrower is Riverton Barge Lines, headquartered in St. Louis. The financial sponsor is Trailhead Equity. Analyst: Chris Nolan. Committee chair: Fatima Rahman. Portfolio manager: Owen Briggs, Granite Harbor Management LLC.

Recommendation: Approve at a maximum par of \$6,000,000 (1.50% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Riverton CLO 2024-1 indenture. Moody's corporate family rating is B1. S&P issuer credit rating is B+. The loan is US dollar denominated and is eligible collateral under the term sheet dated 12 March 2024.

2. Borrower and sponsor

Riverton Barge Lines operates in Transportation. The company is owned by Trailhead Equity. Neither the sponsor nor the borrower is affiliated with Granite Harbor Management LLC.

Related book names in Riverton CLO 2024-1 include Gateway Steel Fabricators, Ozark Health Network. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Riverton Barge Lines first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. Twin Cities Warehouse is the warehouse lender to Riverton CLO 2024-1.

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4. Credit highlights and risks

Highlights: sponsor support from Trailhead Equity, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicalities in Transportation and add-on acquisition risk. Chris Nolan confirmed that Moody's industry classification for Riverton Barge Lines is 'Transportation'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated B1. It uses 1.50 of the 2.00 percentage-point largest-obligor covenant. Owen Briggs confirmed the trade for Riverton CLO 2024-1.

If Riverton Barge Lines is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Riverton CLO 2024-1 indenture. Citibank, N.A. would reflect that classification on the next monthly trustee report. Granite Harbor Management LLC would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Granite Harbor Management LLC approved the \$6,000,000 purchase for the Riverton CLO 2024-1 warehouse on 4 March 2024. Voting members: Fatima Rahman (chair), Owen Briggs, and Chris Nolan. The trade will settle into the Twin Cities Warehouse warehouse and be conveyed to Riverton CLO 2024-1, Ltd. on the closing date of 28 March 2024.